

DEAL INTELLIGENCE

Charney's \$122M Columbia Sale: A 221% Return in Two Years Shows the Value of a Captive Buyer

The developer bought for \$38M in 2024, renovated, and sold to the university at a price that reflects institutional demand, not market comps.

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A source-grounded Light Tower Insight. The complete note follows.

Sam Charney bought a Gothic dormitory in Morningside Heights for \$38 million in 2024. Sixteen months later, he sold it to Columbia University for \$122 million. The headline number is striking. The more revealing number is the spread: an 84-million-dollar gap between entry and exit, or a 221 percent gross return on the acquisition price.

The conventional reading is that Charney executed a textbook value-add play: acquire an underutilized asset, renovate it into student housing, and flip it to the natural institutional owner. That story is true as far as it goes. But it misses the capital markets mechanism that made the math work.

Charney did not sell into an open market. He sold to a buyer with a specific, non-fungible need. Columbia needed beds for its School of General Studies. It needed them within walking distance of campus. It needed them before the fall semester. And it needed them in a form that did not require years of development or entitlement risk. The university was not buying a student housing asset. It was buying time, control, and adjacency.

The price reflects that premium. At \$122 million, the deal values the 300-bed property at roughly \$407,000 per bed. That is high for student housing in Morningside Heights, even by New York standards. But Columbia was not underwriting a market cap rate. It was underwriting the cost of not having the beds, the political risk of displacing students, and the operational complexity of sourcing equivalent space elsewhere.

Charney understood this. He bought the building from Riverside Church for \$38 million, financed the renovation with a \$55 million loan from Madison Realty Capital, and created a product that Columbia could not easily replicate. The building's narrow floor plate allowed small, efficient units. Its location two blocks from campus made it functionally irreplaceable. Charney did not just renovate a dorm. He created a bespoke solution to a university's capacity constraint.

The deal also reveals something about the current state of institutional capital. Columbia is not a

distressed buyer. It is a well-capitalized, creditworthy counterparty with a long time horizon and a low cost of capital. When such a buyer enters the market for a specific use, it can pay prices that would not clear in a transaction between two private investors. The \$122 million price is not a comp for the broader student housing market. It is a data point about what a motivated institutional end-user will pay to solve a problem.

For Charney, the transaction is a liquidity event that frees up capital for his larger pipeline. He and his partner Tavros Capital are building roughly 2,000 apartments across four projects in Gowanus. Those projects require equity, and a \$122 million sale provides it. The 99 Claremont sale is not Charney exiting student housing. It is Charney recycling capital into a larger, longer-duration bet on Brooklyn residential development.

For Madison Realty Capital, the \$55 million renovation loan was repaid in full, likely with a prepayment premium or yield maintenance. The lender took construction risk on a conversion and was paid off inside two years. That is a favorable outcome in any market, but especially in one where construction loans are under scrutiny.

For Columbia, the acquisition is a balance-sheet decision. The university sold a student housing property in the Bronx for \$65 million earlier this year and paid \$84 million for a development site in 2022. It has the financial capacity to buy rather than build when the math favors speed. The question is whether this deal sets a precedent for future acquisitions. If Columbia is willing to pay \$407,000 per bed for a renovated dorm, other owners of nearby student housing will take notice.

The deal also raises a question for the broader market. When a captive institutional buyer pays a premium, does that premium become a floor for nearby assets, or does it remain an outlier? The answer depends on whether other buyers with similar constraints exist. In Morningside Heights, the answer is probably no. Columbia is the dominant institutional landowner in the neighborhood. There is no second buyer with the same need, timeline, and balance sheet. The \$122 million price is a ceiling, not a floor.

What the market should test next is whether other universities with enrollment pressure and limited

land are willing to pay similar premiums for finished product. If they are, the student housing sector may see more institutional-to-institutional transactions at prices that defy public market cap rates. If they are not, the Charney sale will stand as a one-off: a well-timed trade between a developer who understood a buyer's constraint and a buyer who valued time over price.

SOURCES

— The Real Deal —

<https://therealdeal.com/new-york/2026/07/17/charney-cos-sells-99-claremont-avenue-to-columbia-university/>

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